

**Sixty-ninth Legislative Assembly of North Dakota
In Regular Session Commencing Tuesday, January 7, 2025**

SENATE BILL NO. 2146
(Senators Roers, Barta)
(Representatives Frelich, Holle, M. Ruby, O'Brien)

AN ACT to create and enact chapter 43-40.1 of the North Dakota Century Code, relating to the occupational therapy licensure compact.

BE IT ENACTED BY THE LEGISLATIVE ASSEMBLY OF NORTH DAKOTA:

SECTION 1. Chapter 43-40.1 of the North Dakota Century Code is created and enacted as follows:

43-40.1-01. Purpose.

1. The purpose of this compact is to facilitate interstate practice of occupational therapy with the goal of improving public access to occupational therapy services. The practice of occupational therapy occurs in the state where the patient is located at the time of the patient encounter. The compact preserves the regulatory authority of states to protect public health and safety through the current system of state licensure.
2. This compact is designed to:
 - a. Increase public access to occupational therapy services by providing for the mutual recognition of other member state licenses;
 - b. Enhance the states' ability to protect the public's health and safety;
 - c. Encourage the cooperation of member states in regulating multistate occupational therapy practice;
 - d. Support spouses of relocating military members;
 - e. Enhance the exchange of licensure, investigative, and disciplinary information between member states;
 - f. Allow a remote state to hold a provider of services with a compact privilege in that state accountable to that state's practice standards; and
 - g. Facilitate the use of telehealth technology to increase access to occupational therapy services.

43-40.1-02. Definitions.

As used in this compact:

1. "Active duty military" means full-time duty status in the active uniformed service of the United States, including members of the national guard and reserve on active duty orders under 10 U.S.C. chapter 1209 and 10 U.S.C. chapter 1211.
2. "Adverse action" means any administrative, civil, equitable, or criminal action permitted by a state's laws which is imposed by a licensing board or other authority against an occupational therapist or occupational therapy assistant, including actions against an individual's license or compact privilege, including censure, revocation, suspension, probation, monitoring of the licensee, or restriction on the licensee's practice.

3. "Alternative program" means a nondisciplinary monitoring process approved by an occupational therapy licensing board.
4. "Compact privilege" means the authorization, which is equivalent to a license, granted by a remote state to allow a licensee from another member state to practice as an occupational therapist or practice as an occupational therapy assistant in the remote state under its laws and rules. The practice of occupational therapy occurs in the member state where the patient is located at the time of the patient encounter.
5. "Continuing education" means a requirement, as a condition of license renewal, to provide evidence of participation in, or completion of, educational and professional activities relevant to practice or area of work.
6. "Current significant investigative information" means investigative information a licensing board, after an inquiry or investigation that includes notification and an opportunity for the occupational therapist or occupational therapy assistant to respond, if required by state law, has reason to believe is not groundless and, if proved true, would indicate more than a minor infraction.
7. "Data system" means a repository of information about licensees, including license status, investigative information, compact privileges, and adverse actions.
8. "Encumbered license" means a license in which an adverse action restricts the practice of occupational therapy by the licensee or the adverse action has been reported to the national practitioner data bank.
9. "Executive committee" means a group of directors elected or appointed to act on behalf of, and within the powers granted to them by, the commission.
10. "Home state" means the member state that is the licensee's primary state of residence.
11. "Impaired practitioner" means an individual whose professional practice is adversely affected by substance abuse, addiction, or other health-related condition.
12. "Investigative information" means information, records, or documents received or generated by an occupational therapy licensing board pursuant to an investigation.
13. "Jurisprudence requirement" means the assessment of an individual's knowledge of the laws and rules governing the practice of occupational therapy in a state.
14. "Licensee" means an individual who currently holds an authorization from the state to practice as an occupational therapist or as an occupational therapy assistant.
15. "Member state" means a state that has enacted this compact.
16. "Occupational therapist" means an individual who is licensed by a state to practice occupational therapy.
17. "Occupational therapy", "occupational therapy practice", and the "practice of occupational therapy" mean the care and services provided by an occupational therapist or an occupational therapy assistant as provided under the member state's statutes and regulations.
18. "Occupational therapy assistant" means an individual who is licensed by a state to assist in the practice of occupational therapy.
19. "Occupational therapy compact commission" or "commission" means the national administrative body whose membership consists of all states that have enacted this compact.

20. "Occupational therapy licensing board" or "licensing board" means the agency of a state that is authorized to license and regulate occupational therapists and occupational therapy assistants.
21. "Primary state of residence" means the state in which an occupational therapist or occupational therapy assistant who is not active duty military declares a primary residence for legal purposes as verified by a driver's license, federal income tax return, lease, deed, mortgage, or voter registration, or other verifying documentation as provided under commission rules.
22. "Remote state" means a member state other than the home state, where a licensee is exercising or seeking to exercise the compact privilege.
23. "Rule" means a regulation adopted by the commission which has the force of law.
24. "Single-state license" means an occupational therapist or occupational therapy assistant license issued by a member state that authorizes practice only within the issuing state and does not include a compact privilege in any other member state.
25. "State" means any state, commonwealth, district, or territory of the United States of America that regulates the practice of occupational therapy.
26. "Telehealth" means the application of telecommunication technology to deliver occupational therapy services for assessment, intervention, or consultation.

43-40.1-03. State participation in the compact.

1. To participate in the compact, a member state shall:
 - a. License occupational therapists and occupational therapy assistants;
 - b. Participate fully in the commission's data system, including using the commission's unique identifier as defined in rules of the commission;
 - c. Have a mechanism in place for receiving and investigating complaints about licensees;
 - d. Notify the commission, in compliance with the terms of the compact and rules, of any adverse action or the availability of investigative information regarding a licensee;
 - e. Implement or use procedures for considering the criminal history records of applicants for an initial compact privilege. The procedures shall include the submission of fingerprints or other biometric-based information by applicants for the purpose of obtaining an applicant's criminal history record information from the federal bureau of investigation and the agency responsible for retaining that state's criminal records.
 - (1) A member state shall, within a time frame established by the commission, require a criminal background check for a licensee applying for a compact privilege whose primary state of residence is that member state, by receiving the results of the federal bureau of investigation criminal record search, and shall use the results in making licensure decisions.
 - (2) Communication between a member state, the commission, and among member states regarding the verification of eligibility for licensure through the compact may not include any information received from the federal bureau of investigation relating to a federal criminal records check performed by a member state under Public Law 92-544;
 - f. Comply with the rules of the commission;

- g. Use only a recognized national examination as a requirement for licensure pursuant to the rules of the commission; and
- h. Have continuing education requirements as a condition for license renewal.
- 2. A member state shall grant the compact privilege to a licensee holding a valid unencumbered license in another member state in accordance with the terms of the compact and rules.
- 3. Member states may charge a fee for granting a compact privilege.
- 4. A member state shall provide for the state's delegate to attend all occupational therapy compact commission meetings.
- 5. An individual not residing in a member state shall continue to be able to apply for a member state's single-state license as provided under the laws of each member state. The single-state license granted to the individual may not be recognized as granting the compact privilege in any other member state.
- 6. This compact does not affect the requirements established by a member state for the issuance of a single-state license.

43-40.1-04. Compact privilege.

- 1. To exercise the compact privilege under the terms and provisions of the compact, the licensee shall:
 - a. Hold a license in the home state;
 - b. Have a valid United States social security number or national practitioner identification number;
 - c. Have no encumbrance on any state license;
 - d. Be eligible for a compact privilege in any member state in accordance with subsections 4, 6, 7, and 8;
 - e. Have paid all fines and completed all requirements resulting from any adverse action against any license or compact privilege, and two years have elapsed from the date of completing the requirements;
 - f. Notify the commission that the licensee is seeking the compact privilege within a remote state;
 - g. Pay any applicable fee, including any state fee, for the compact privilege;
 - h. Complete a criminal background check in accordance with subdivision e of subsection 1 of section 43-40.1-03. The licensee shall be responsible for the payment of any fee associated with the completion of a criminal background check;
 - i. Meet any jurisprudence requirement established by the remote state in which the licensee is seeking a compact privilege; and
 - j. Report adverse action taken by any nonmember state to the commission within thirty days from the date the adverse action is taken.
- 2. The compact privilege is valid until the expiration date of the home state license. The licensee must comply with the requirements of subsection 1 to maintain the compact privilege in the remote state.

3. A licensee providing occupational therapy in a remote state under the compact privilege shall function within the laws and regulations of the remote state.
4. Occupational therapy assistants practicing in a remote state must be supervised by an occupational therapist licensed or holding a compact privilege in that remote state.
5. A licensee providing occupational therapy in a remote state is subject to that state's regulatory authority. A remote state may, in accordance with due process and that state's laws, remove a licensee's compact privilege in the remote state for a specific period of time, impose fines, and take any other necessary actions to protect the health and safety of the remote state's citizens. The licensee may be ineligible for a compact privilege in any state until the specific time for removal has passed and all fines are paid.
6. If a home state license is encumbered, the licensee loses the compact privilege in any remote state until:
 - a. The home state license is no longer encumbered; and
 - b. Two years have elapsed from the date on which the home state license is no longer encumbered in accordance with subdivision a.
7. If an encumbered license in the home state is restored to good standing, the licensee must meet the requirements of subsection 1 to obtain a compact privilege in any remote state.
8. If a licensee's compact privilege in any remote state is removed, the licensee may lose the compact privilege in any other remote state until:
 - a. The specific period of time for which the compact privilege was removed has ended;
 - b. All fines have been paid and all conditions have been met;
 - c. Two years have elapsed from the date of completing the requirements under subdivisions a and b; and
 - d. The compact privileges are reinstated by the commission, and the compact data system is updated to reflect reinstatement.
9. If a licensee's compact privilege in any remote state is removed due to an erroneous charge, privileges must be restored through the compact data system.
10. If the requirements of subsection 8 have been met, the licensee must meet the requirements in subsection 1 to obtain a compact privilege in a remote state.

43-40.1-05. Obtaining a new home state license by virtue of compact privilege.

1. An occupational therapist or occupational therapy assistant may hold a home state license, which allows for compact privileges in member states, in only one member state at a time.
2. If an occupational therapist or occupational therapy assistant changes primary state of residence by moving between two member states:
 - a. The occupational therapist or occupational therapy assistant shall file an application for obtaining a new home state license by virtue of a compact privilege, pay all applicable fees, and notify the current and new home state in accordance with applicable rules adopted by the commission.
 - b. Upon receipt of an application for obtaining a new home state license by virtue of compact privilege, the new home state shall verify the occupational therapist or

occupational therapy assistant meets the pertinent criteria outlined in section 43-40.1-04 through the data system, without need for primary source verification except for:

- (1) A federal bureau of investigation fingerprint-based criminal background check if not previously performed or updated pursuant to applicable rules adopted by the commission in accordance with Public Law 92-544;
 - (2) Any other criminal background check as required by the new home state; and
 - (3) Submission of any requisite jurisprudence requirements of the new home state.
 - c. The former home state shall convert the former home state license into a compact privilege once the new home state has activated the new home state license in accordance with applicable rules adopted by the commission.
 - d. Notwithstanding any other provision of this compact, if the occupational therapist or occupational therapy assistant cannot meet the criteria in section 43-40.1-04, the new home state shall apply its requirements for issuing a new single-state license.
 - e. The occupational therapist or the occupational therapy assistant shall pay all applicable fees to the new home state in order to be issued a new home state license.
3. If an occupational therapist or occupational therapy assistant changes primary state of residence by moving from a member state to a nonmember state, or from a nonmember state to a member state, the state criteria applies for issuance of a single-state license in the new state.
4. Nothing in this compact shall interfere with a licensee's ability to hold a single-state license in multiple states. For the purposes of this compact, a licensee only may have one home state license.
5. This compact does not affect the requirements established by a member state for the issuance of a single-state license.

43-40.1-06. Active duty military personnel or their spouses.

Active duty military personnel, or their spouses, shall designate a home state where the individual has a current license in good standing. The individual may retain the home state designation during the period the service member is on active duty. Subsequent to designating a home state, the individual only shall change their home state through application for licensure in the new state or through the process described in section 43-40.1-05.

43-40.1-07. Adverse actions.

1. A home state has exclusive power to impose adverse action against an occupational therapist's or occupational therapy assistant's license issued by the home state.
2. In addition to the other powers conferred by state law, a remote state may:
 - a. Take adverse action against an occupational therapist's or occupational therapy assistant's compact privilege within that member state.
 - b. Issue a subpoena for hearings and investigations that require the attendance and testimony of witnesses as well as the production of evidence. A subpoena issued by a licensing board in a member state for the attendance and testimony of witnesses or the production of evidence from another member state must be enforced in the latter state by any court of competent jurisdiction, according to the practice and procedure of that court applicable to subpoenas issued in proceedings pending before the court. The issuing

authority shall pay any witness fees, travel expenses, mileage, and other fees required by the service statutes of the state in which the witnesses or evidence are located.

3. For purposes of taking adverse action, the home state shall give the same priority and effect to reported conduct received from a member state as it would if the conduct had occurred within the home state. In so doing, the home state shall apply its own state laws to determine appropriate action.
4. The home state shall complete any pending investigation of an occupational therapist or occupational therapy assistant who changes primary state of residence during the course of the investigation. The home state, where the investigation was initiated may take appropriate action and shall promptly report the conclusion of the investigation to the occupational therapy compact commission data system. The occupational therapy compact commission data system administrator shall promptly notify the new home state of any adverse action.
5. A member state, if otherwise permitted by state law, may recover from the affected occupational therapist or occupational therapy assistant the cost of an investigation and disposition of a case resulting from any adverse action taken against that occupational therapist or occupational therapy assistant.
6. A member state may take adverse action based on the factual findings of the remote state, provided the member state follows its own procedures for taking the adverse action.
7. Joint investigations:
 - a. In addition to the authority granted to a member state by its respective state occupational therapy laws and regulations or other applicable state law, any member state may participate with other member states in joint investigations of licensees.
 - b. Member states shall share any investigative, litigation, or compliance materials in furtherance of any joint or individual investigation initiated under the compact.
8. If an adverse action is taken by the home state against an occupational therapist's or occupational therapy assistant's license, the occupational therapist's or occupational therapy assistant's compact privilege in all other member states must be deactivated until all encumbrances have been removed from the state license. All home state disciplinary orders that impose adverse action against an occupational therapist's or occupational therapy assistant's license must include a statement that the occupational therapist's or occupational therapy assistant's compact privilege is deactivated in all member states during the pendency of the order.
9. If a member state takes adverse action, the member state shall promptly notify the administrator of the data system. The administrator of the data system shall promptly notify the home state of any adverse action by a remote state.
10. This compact does not override a member state's decision that participation in an alternative program may be used in lieu of adverse action.

43-40.1-08. Establishment of the occupational therapy compact commission.

1. The compact member states hereby create and establish a joint public agency known as the occupational therapy compact commission.
 - a. The commission is an instrumentality of the compact states.
 - b. Venue is proper and judicial proceedings by or against the commission must be brought exclusively in a court of competent jurisdiction where the principal office of the commission is located. The commission may waive venue and jurisdictional defenses to

the extent the commission adopts or consents to participate in alternative dispute resolution proceedings.

c. This compact may not be construed to be a waiver of sovereign immunity.

2. Membership, voting, and meetings.

a. Each member state has and is limited to one delegate selected by that member state's licensing board.

b. The delegate must be:

(1) A current member of the licensing board, who is an occupational therapist, occupational therapy assistant, or public member; or

(2) An administrator of the licensing board.

c. A delegate may be removed or suspended from office as provided by the law of the state from which the delegate is appointed.

d. The member state board shall fill any vacancy occurring in the commission within ninety days.

e. Each delegate is entitled to one vote with regard to the adoption of rules and creation of bylaws and must have an opportunity to participate in the business and affairs of the commission. A delegate shall vote in person or by any other means provided in the bylaws. The bylaws may provide for delegates' participation in meetings by telephone or other means of communication.

f. The commission shall meet at least once during each calendar year. Additional meetings must be held as provided in the bylaws.

g. The commission shall establish by rule a term of office for delegates.

3. The commission has the power and duty to:

a. Establish a code of ethics for the commission.

b. Establish the fiscal year of the commission.

c. Establish bylaws.

d. Maintain financial records in accordance with the bylaws.

e. Meet and take actions consistent with the provisions of this compact and the bylaws.

f. Adopt uniform rules to facilitate and coordinate implementation and administration of this compact. The rules have the force and effect of law and are binding in all member states.

g. Bring and prosecute legal proceedings or actions in the name of the commission, provided the standing of any state occupational therapy licensing board to sue or be sued under applicable law is not affected.

h. Purchase and maintain insurance and bonds.

i. Borrow, accept, or contract for services of personnel, including employees of a member state.

j. Hire employees, elect or appoint officers, fix compensation, define duties, grant the individuals appropriate authority to carry out the purposes of the compact, and establish

the commission's personnel policies and programs relating to conflicts of interest, qualifications of personnel, and other related personnel matters.

- k. Accept any and all appropriate donations and grants of money, equipment, supplies, materials and services, and receive, use and dispose of the same; provided that at all times the commission avoids any appearance of impropriety and conflict of interest.
 - l. Lease, purchase, accept appropriate gifts or donations of, or otherwise own, hold, improve, or use any property; real, personal, or mixed; provided the commission avoids any appearance of impropriety.
 - m. Sell, convey, mortgage, pledge, lease, exchange, abandon, or otherwise dispose of any property; real, personal, or mixed.
 - n. Establish a budget and make expenditures.
 - o. Borrow money.
 - p. Appoint committees, including standing committees composed of members, state regulators, state legislators or their representatives, and consumer representatives, and other interested persons as designated in this compact and the bylaws.
 - q. Provide and receive information from, and cooperate with, law enforcement agencies.
 - r. Establish and elect an executive committee.
 - s. Perform other functions as necessary or appropriate to achieve the purposes of this compact consistent with the state regulation of occupational therapy licensure and practice.
4. The executive committee.
- a. The executive committee has the power to act on behalf of the commission according to the terms of this compact.
 - b. The executive committee is composed of nine members:
 - (1) Seven voting members who are elected by the commission from the current membership of the commission;
 - (2) One ex-officio, nonvoting member from a recognized national occupational therapy professional association; and
 - (3) One ex-officio, nonvoting member from a recognized national occupational therapy certification organization.
 - c. The ex-officio members will be selected by their respective organizations.
 - d. The commission may remove any member of the executive committee as provided in bylaws.
 - e. The executive committee shall:
 - (1) Meet at least annually;
 - (2) Recommend to the entire commission changes to the rules or bylaws, changes to this compact legislation, fees paid by compact member states including, annual dues, and any commission compact fee charged to licensees for the compact privilege;

- (3) Ensure compact administration services are appropriately provided, contractual or otherwise;
- (4) Prepare and recommend the budget;
- (5) Maintain financial records on behalf of the commission;
- (6) Monitor compact compliance of member states and provide compliance reports to the commission;
- (7) Establish additional committees as necessary; and
- (8) Perform other duties as provided in rules or bylaws.

5. Meetings of the commission.

- a. All meetings must be open to the public, and public notice of meetings must be given in the same manner as required under the rulemaking provisions in section 43-40.1-10.
- b. The commission or the executive committee or other committees of the commission may convene in a closed, nonpublic meeting if the commission or executive committee or other committees of the commission must discuss:
 - (1) Noncompliance of a member state with its obligations under the compact;
 - (2) The employment, compensation, discipline, or other matters, practices, or procedures related to specific employees or other matters related to the commission's internal personnel practices and procedures;
 - (3) Current, threatened, or reasonably anticipated litigation;
 - (4) Negotiation of contracts for the purchase, lease, or sale of goods, services, or real estate;
 - (5) Accusing any individual of a crime or formally censuring any individual;
 - (6) Disclosure of trade secrets or commercial or financial information that is privileged or confidential;
 - (7) Disclosure of information of a personal nature if disclosure would constitute a clearly unwarranted invasion of personal privacy;
 - (8) Disclosure of investigative records compiled for law enforcement purposes;
 - (9) Disclosure of information related to any investigative reports prepared by or on behalf of or for use of the commission or other committee charged with responsibility of investigation or determination of compliance issues pursuant to the compact; or
 - (10) Matters specifically exempted from disclosure by federal or member state statute.
- c. If a meeting, or portion of a meeting, is closed pursuant to this provision, the commission's legal counsel or designee shall certify that the meeting may be closed and shall reference each relevant exempting provision.
- d. The commission shall keep minutes that fully and clearly describe all matters discussed in a meeting and shall provide a full and accurate summary of actions taken, and the reasons for taking the actions, including a description of the views expressed. All documents considered in connection with an action must be identified in the minutes. All

minutes and documents of a closed meeting must remain under seal, subject to release by a majority vote of the commission or order of a court of competent jurisdiction.

6. Financing of the commission.

- a. The commission shall pay, or provide for the payment of, the reasonable expenses of its establishment, organization, and ongoing activities.
- b. The commission may accept any and all appropriate revenue sources, donations, and grants of money, equipment, supplies, materials, and services.
- c. The commission may levy on and collect an annual assessment from each member state or impose fees on other parties to cover the cost of the operations and activities of the commission and its staff, which must be in a total amount sufficient to cover its annual budget as approved by the commission each year for which revenue is not provided by other sources. The aggregate annual assessment amount must be allocated based on a formula determined by the commission, which shall adopt a rule binding on all member states.
- d. The commission may not incur obligations before securing adequate funds to meet the obligations or pledge the credit of any of the member states, except by and with the authority of the member state.
- e. The commission shall keep accurate accounts of all receipts and disbursements. The receipts and disbursements of the commission are subject to the audit and accounting procedures established under its bylaws. All receipts and disbursements of funds handled by the commission must be audited yearly by a certified or licensed public accountant, and the report of the audit must be included in and become part of the annual report of the commission.

7. Qualified immunity, defense, and indemnification.

- a. The members, officers, executive director, employees, and representatives of the commission are immune from suit and liability, either personally or in their official capacity, for any claim for damage to or loss of property or personal injury or other civil liability caused by or arising out of any actual or alleged act, error, or omission that occurred, or that the individual against whom the claim is made had a reasonable basis for believing occurred within the scope of commission employment, duties, or responsibilities. This subdivision may not be construed to protect any such individual from suit or liability for any damage, loss, injury, or liability caused by the intentional, willful, or wanton misconduct of that individual.
- b. The commission shall defend any member, officer, executive director, employee, or representative of the commission in any civil action seeking to impose liability arising out of any actual or alleged act, error, or omission that occurred within the scope of commission employment, duties, or responsibilities, or that the individual against whom the claim is made had a reasonable basis for believing occurred within the scope of commission employment, duties, or responsibilities. This subdivision may not be construed to prohibit that individual from retaining counsel or that the actual or alleged act, error, or omission did not result from that individual's intentional, willful, or wanton misconduct.
- c. The commission shall indemnify and hold harmless any member, officer, executive director, employee, or representative of the commission for the amount of any settlement or judgment obtained against that individual arising out of any actual or alleged act, error, or omission that occurred within the scope of commission employment, duties, or responsibilities, or that the individual had a reasonable basis for believing occurred within the scope of commission employment, duties, or responsibilities, provided the actual or

alleged act, error, or omission did not result from the intentional, willful, or wanton misconduct of that individual.

43-40.1-09. Data system.

1. The commission shall provide for the development, maintenance, and use of a coordinated database and reporting system containing licensure, adverse action, and investigative information on all licensed individuals in member states.
2. A member state shall submit a uniform data set to the data system on all individuals to whom this compact applies, as required by the rules of the commission using a unique identifier that includes:
 - a. Identifying information;
 - b. Licensure data;
 - c. Adverse actions against a license or compact privilege;
 - d. Nonconfidential information related to alternative program participation;
 - e. Any denial of application for licensure, and the reason for the denial;
 - f. Other information that may facilitate the administration of this compact, as determined by the rules of the commission; and
 - g. Current significant investigative information.
3. Current significant investigative information and other investigative information pertaining to a licensee in any member state only will be available to other member states.
4. The commission shall promptly notify all member states of any adverse action taken against a licensee or an individual applying for a license. Adverse action information pertaining to a licensee in any member state will be available to any other member state.
5. Member states contributing information to the data system may designate information that may not be shared with the public without the express permission of the contributing state.
6. Any information submitted to the data system that is subsequently required to be expunged by the laws of the member state contributing the information must be removed from the data system.

43-40.1-10. Rulemaking.

1. The commission shall exercise its rulemaking powers pursuant to the criteria set forth in this section and the rules adopted thereunder. Rules and amendments become binding as of the date specified in each rule or amendment.
2. The commission shall adopt rules in order to effectively and efficiently achieve the purposes of the compact. Notwithstanding the foregoing, if the commission exercises its rulemaking authority in a manner beyond the scope of the purposes of the compact, or the powers granted under the compact, then the action by the commission is invalid and has no force and effect.
3. If a majority of the legislatures of the member states rejects a rule, by enactment of a statute or resolution in the same manner used to adopt the compact within four years of the date of adoption of the rule, the rule has no further force and effect in any member state.
4. Rules or amendments to the rules must be adopted at a regular or special meeting of the commission.

5. Before adoption of a final rule by the commission, and at least thirty days in advance of the meeting at which the rule will be considered and voted upon, the commission shall file a notice of proposed rulemaking:
 - a. On the website of the commission or other publicly accessible platform; and
 - b. On the website of each member state occupational therapy licensing board or other publicly accessible platform or the publication in which each state would otherwise publish proposed rules.
6. The notice of proposed rulemaking must include:
 - a. The proposed time, date, and location of the meeting in which the rule will be considered and voted on;
 - b. The text of the proposed rule or amendment and the reason for the proposed rule;
 - c. A request for comments on the proposed rule from any interested person; and
 - d. The manner in which interested persons may submit notice to the commission of their intention to attend the public hearing and any written comments.
7. Before adoption of a proposed rule, the commission shall allow an individual to submit written data, facts, opinions, and arguments, which must be made available to the public.
8. The commission shall grant an opportunity for a public hearing before the commission adopts a rule or amendment if a hearing is requested by:
 - a. At least twenty-five individuals;
 - b. A state or federal governmental subdivision or agency; or
 - c. An association or organization having at least twenty-five members.
9. If a hearing is held on the proposed rule or amendment, the commission shall publish the place, time, and date of the scheduled public hearing. If the hearing is held through electronic means, the commission shall publish the mechanism for access to the electronic hearing.
 - a. Any individual wishing to be heard at the hearing shall notify the executive director of the commission or other designated member in writing of their desire to appear and testify at the hearing not less than five business days before the scheduled date of the hearing.
 - b. Hearings must be conducted in a manner providing an individual who wishes to comment a fair and reasonable opportunity to comment orally or in writing.
 - c. All hearings must be recorded. A copy of the recording must be made available on request.
 - d. This section may not be construed to require a separate hearing on each rule. Rules may be grouped for the convenience of the commission at hearings required by this section.
10. Following the scheduled hearing date, or by the close of business on the scheduled hearing date if the hearing was not held, the commission shall consider all written and oral comments received.
11. If written notice of intent to attend the public hearing by interested parties is not received, the commission may proceed with adoption of the proposed rule without a public hearing.

12. The commission shall, by majority vote of all members, take final action on the proposed rule and determine the effective date of the rule, if any, based on the rulemaking record and the full text of the rule.
13. Upon determination that an emergency exists, the commission may consider and adopt an emergency rule without prior notice, opportunity for comment, or hearing, provided the usual rulemaking procedures provided in the compact and in this section must be retroactively applied to the rule as soon as reasonably possible, in no event later than ninety days after the effective date of the rule. For purposes of this provision, an emergency rule is one that must be adopted immediately in order to:
 - a. Meet an imminent threat to public health, safety, or welfare;
 - b. Prevent a loss of commission or member state funds;
 - c. Meet a deadline for the promulgation of an administrative rule that is established by federal law or rule; or
 - d. Protect public health and safety.
14. The commission or an authorized committee of the commission may direct revisions to a previously adopted rule or amendment for purposes of correcting typographical errors, errors in format, errors in consistency, or grammatical errors. Public notice of any revisions must be posted on the website of the commission. The revision is subject to challenge by any individual for a period of thirty days after posting. The revision may be challenged only on grounds that the revision results in a material change to a rule. A challenge must be made in writing and delivered to the chair of the commission before the end of the notice period. If a challenge is not made, the revision will take effect without further action. If the revision is challenged, the revision may not take effect without the approval of the commission.

43-40.1-11. Oversight, dispute resolution, and enforcement.

1. Oversight.
 - a. The executive, legislative, and judicial branches of state government in each member state shall enforce this compact and take all actions necessary and appropriate to effectuate the compact's purposes and intent. The provisions of this compact and the rules adopted hereunder have standing as statutory law.
 - b. All courts shall take judicial notice of the compact and the rules in any judicial or administrative proceeding in a member state pertaining to the subject matter of this compact which may affect the powers, responsibilities, or actions of the commission.
 - c. The commission is entitled to receive service of process in any such proceeding, and has standing to intervene in such a proceeding for all purposes. Failure to provide service of process to the commission renders a judgment or order void as to the commission, this compact, or adopted rules.
2. Default, technical assistance, and termination.
 - a. If the commission determines a member state has defaulted in the performance of its obligations or responsibilities under this compact or the adopted rules, the commission shall:
 - (1) Provide written notice to the defaulting state and other member states of the nature of the default, the proposed means of curing the default, and any other action to be taken by the commission; and
 - (2) Provide remedial training and specific technical assistance regarding the default.

- b. If a state in default fails to cure the default, the defaulting state may be terminated from the compact upon an affirmative vote of a majority of the member states, and all rights, privileges, and benefits conferred by this compact may be terminated on the effective date of termination. A cure of the default does not relieve the offending state of obligations or liabilities incurred during the period of default.
 - c. Termination of membership in the compact must be imposed only after all other means of securing compliance have been exhausted. Notice of intent to suspend or terminate must be given by the commission to the governor, the majority and minority leaders of the defaulting state's legislature, and each of the member states.
 - d. A state that has been terminated is responsible for all assessments, obligations, and liabilities incurred through the effective date of termination, including obligations that extend beyond the effective date of termination.
 - e. The commission may not incur any costs related to a state that is found to be in default or has been terminated from the compact, unless agreed on in writing between the commission and the defaulting state.
 - f. The defaulting state may appeal the action of the commission by petitioning the United States district court for the District of Columbia or the federal district where the commission has its principal offices. The prevailing member must be awarded all costs of litigation, including reasonable attorney's fees.
3. Dispute resolution.
- a. Upon request by a member state, the commission shall attempt to resolve disputes related to the compact that arise among member states and between member and nonmember states.
 - b. The commission shall adopt a rule providing for both mediation and binding dispute resolution for disputes as appropriate.
4. Enforcement.
- a. The commission, in the reasonable exercise of its discretion, shall enforce the provisions and rules of this compact.
 - b. By majority vote, the commission may initiate legal action in the United States district court for the District of Columbia, or the federal district where the commission has its principal offices, against a member state in default to enforce compliance with the provisions of the compact and its rules and bylaws. The relief sought may include injunctive relief and damages. If judicial enforcement is necessary, the prevailing member must be awarded all costs of litigation, including reasonable attorney's fees.
 - c. The remedies herein are not the exclusive remedies of the commission. The commission may pursue any other remedies available under federal or state law.

43-40.1-12. Date of implementation of the interstate compact for occupational therapy practice and associated rules, withdrawal, and amendment.

- 1. The compact becomes effective on the date the compact statute is enacted into law in the tenth member state. The provisions, which become effective at that time, are limited to the powers granted to the commission relating to assembly and the adoption of rules. Thereafter, the commission shall meet and exercise rulemaking powers necessary to the implementation and administration of the compact.
- 2. Any state that joins the compact subsequent to the commission's initial adoption of the rules is subject to the rules as they exist on the date the compact becomes law in that state. Any rule

that has been previously adopted by the commission has the full force and effect of law on the day the compact becomes law in that state.

3. Any member state may withdraw from this compact by enacting a statute repealing the compact.
 - a. A member state's withdrawal may not take effect until six months after enactment of the repealing statute.
 - b. Withdrawal may not affect the continuing requirement of the withdrawing state's occupational therapy licensing board to comply with the investigative and adverse action reporting requirements of this compact before the effective date of withdrawal.
4. The compact may not be construed to invalidate or prevent any occupational therapy licensure agreement or other cooperative arrangement between a member state and a nonmember state which does not conflict with the provisions of this compact.
5. This compact may be amended by the member states. An amendment to this compact may not become effective and binding on any member state until the amendment is enacted into the laws of all member states.

43-40.1-13. Construction and severability.

This compact must be liberally construed to effectuate the purposes of the compact. The provisions of this compact are severable and if any phrase, clause, sentence, or provision of this compact is declared to be contrary to the constitution of any member state or of the United States or the applicability thereof to any government, agency, individual, or circumstance is held invalid, the validity of the remainder of this compact and the applicability of this compact to any government, agency, individual, or circumstance are not affected thereby. If this compact is held contrary to the constitution of any member state, the compact remains in full force and effect as to the remaining member states and in full force and effect as to the member state affected as to all severable matters.

43-40.1-14. Binding effect of compact and other laws.

1. A licensee providing occupational therapy in a remote state under the compact privilege shall function within the laws and regulations of the remote state.
2. This compact does not prevent the enforcement of any other law of a member state which is not inconsistent with the compact.
3. A law in a member state in conflict with the compact is superseded to the extent of the conflict.
4. Any lawful actions of the commission, including all rules and bylaws adopted by the commission, are binding on the member states.
5. All agreements between the commission and the member states are binding in accordance with the terms of the agreement.
6. If a provision of the compact exceeds the constitutional limits imposed on the legislature of any member state, the provision is ineffective to the extent of the conflict with the constitutional provision in question in that member state.

President of the Senate

Speaker of the House

Secretary of the Senate

Chief Clerk of the House

This certifies that the within bill originated in the Senate of the Sixty-ninth Legislative Assembly of North Dakota and is known on the records of that body as Senate Bill No. 2146.

Senate Vote: Yeas 47 Nays 0 Absent 0

House Vote: Yeas 90 Nays 0 Absent 4

Secretary of the Senate

Received by the Governor at _____ M. on _____, 2025.

Approved at _____ M. on _____, 2025.

Governor

Filed in this office this _____ day of _____, 2025,

at _____ o'clock _____ M.

Secretary of State